

MINUTES
OF THE MEETING OF THE BOARD OF THE CENTRAL BANK OF ARMENIA
(02.08.2022)

On the Refinancing Rate

The Central Bank Board Meeting of August 2, 2022 attended by Deputy Governors Nerses Yeritsyan and Hovhannes Khachatryan, and Board Members Arthur Stepanyan, Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, and Levon Sahakyan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of August 2, 2022. The inflation, external environment, and real, fiscal, financial and monetary sector developments were addressed. The macroeconomic developments in the context of a large inflow of international visitors and finances and possible policy directions for the solution to the existing problems were key topics of the discussion.

The Board stated that inflation of 0.3% was registered in June of 2022 against deflation of 0.8% recorded in the same month of the previous year. This month too, the inflation was primarily determined by 0.7% and 0.6% increases in prices of non-food products and service tariffs, respectively, whereas food prices reported a 0.1% drop. Driven by persisting high demand in services sector, the prices of goods in items “Transport” and “Miscellaneous goods and services” continued growing strongly, by 1.3% and 1.1% respectively (combined contribution to inflation: 0.2 pp). The decrease in prices of food products mostly owed to a 16.9% slump in the prices of item “Vegetables”, which helped control the monthly inflation by 1.0 pp. At the same time, the prices of items “Fruits”, “Bread and cereals” and “Meat” increased by 9.2%, 3.8% and 2.7%, respectively (combined contribution to inflation: 0.8 pp). **As a result of these changes, the 12-month inflation expanded to 10.3% at the end of the month. The 12-month core inflation increased as well, amounting to 9.4%.**

The current developments in the external sector were presented. It was noted that disruptions to global supply chains persisted during the second quarter due to the ongoing sanctions against the Russian economy, with certain positive trends pointing to their mitigation, however. Under the influence of these factors as well as the expected tightening of financial conditions, the growth rate of economic activity continues to slow down in the main partner countries of Armenia. At the same time, prices in the international commodity market remain at historically high levels, although some easing of inflationary pressures is discernable. In such a situation, central banks of developed countries continue tightening monetary conditions. As a result of a steep and very strict reaction of the Central Bank of Russia, inflation and inflation expectations are decreasing faster than expected, in which event fulfilling the inflation target in the medium term will be less costly, reflecting rapid reduction of interest rates by the Bank of Russia.

The Board of the Central Bank reviewed the current economic developments in Armenia, stating that higher-than-expected economic activity was observed in the second quarter of 2022

owing to strong growth in services and industry sectors. Positive developments were also recorded in exports, which was mostly evident in IT and processing industry sectors. Even so, it was demand factors that predominantly contributed to high economic growth, which were driven mainly by a large-scale inflow of international visitors and tourists to Armenia and remittances from the Russian Federation. In the meantime, it was stated that the impact of the fiscal policy on domestic demand in 2022 is estimated somewhat more contractionary than outlined in the second quarter's program, however, with demand demonstrating such positive developments, there may be possibility for a more contractionary fiscal policy.

As to the developments in the Armenian financial market, the Board noted that the short-term market rates have shaped around the Central Bank's policy rate. Dram's appreciation was noticeable in Armenia's currency market influenced by a significant increase in demand (external demand) for domestic services by international visitors and a large inflow of financial transfers from abroad. At the same time, in order to absorb such huge flows and thus offset short-term disruptions and problems observable in the currency market, the Central Bank has had a certain amount of situational intervention in the currency market, so as to contribute to the normal functioning of the financial market by carrying out net purchases of foreign currency.

The Board admitted that a notable demand generated by international visitors and tourists considerably facilitates the domestic inflationary environment to expand. The latter is still fueled also by the effects transmitted from persisting high prices in international commodity markets. Nevertheless, according to the Central Bank assessment, the dram appreciation - something that usually goes along with expanding external demand - has partially softened the domestic inflationary environment and helped stabilize the inflationary expectations.

The Board held an extensive discussion on the need to coordinate the actions of the Central Bank and the Government of Armenia in solving problems in the current macroeconomic situation. In particular, with economic activity and aggregate demand on a growth track, the effectiveness of the use of issues such as the implementation of coordinated contractionary fiscal and monetary policies, targeted policy tools to overcome the sectoral shock were considered. In this context, the Board members highlighted the imperative to regularly holding shared discussions and offering solutions to issues with mutually agreed actions.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board began addressing the macroeconomic scenarios and monetary policy directions and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation, the Forecasting Team proposed scenarios to the Board for upcoming economic development outlooks, including appropriate actions of the monetary policy. The scenarios outlined either the likely continuation of inflationary effects transmitted from the external sector amid high domestic demand or the creation of deflationary impulses from the external sector in case of a stronger response by the US Fed. The Board members agreed that generally a positive strong demand notably contributes to the expansion of the inflationary environment. As estimated by individual members of the Board, inflationary factors, including inflationary risks transmitted from the external sector, are prevailing and will persist in the near future, so consistent tightening of the monetary policy and raising the policy rate by a relatively large step of 0.5 pp is further needed. The other part of the Board voiced

opinion that the inflation in the external sector was gradually decreasing as a result of the policies implemented by central banks of the main partner countries of the Republic of Armenia, and previous actions of the Central Bank of Armenia as well as appreciation of the Armenian dram contribute to the weakening of the domestic inflationary environment. Therefore, despite high domestic demand, handling the inflation and inflationary expectations may be attainable by tightening the monetary conditions in a smaller step. As a result, the **Board of the Central Bank of Armenia decided in a majority vote to raise the refinancing rate by 0.25 pp.** The Board will also be committed in taking adequate measures to stabilize inflation and neutralize any risk of deanchoring of inflation expectations. Under the presented monetary policy scenario, the 12-month inflation will gradually decrease and approach the 4% target in the medium-term horizon.

The Board of the Central Bank estimated that the uncertainty over the macroeconomic outlook persisted. At the same time, the risks of inflation deviating from the projection path are mostly balanced. In the case of risks emerging in any direction, the Board will adequately react and ensure the goal of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

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Deciding on the interest rate

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On Setting Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia, and Press Release on Refinancing Rate

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 9.5%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 11.0%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 8.0%.
4. Approve the press release on refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Nerses Yeritsyan,

Deputy Governor of the Central Bank of the Republic of Armenia

August 2, 2022

c. Yerevan

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PRESS RELEASE
02.08.2022

At the August 2, 2022 meeting, the Board of the Central Bank of Armenia decided to raise the refinancing rate by 0.25 pp, setting it at 9.5%.

In June 2022, the 12-month inflation continued to rise, amounting to 10.3%. The 12-month core inflation also increased, reaching 9.4%.

Disruptions to global supply chains persisted during the second quarter. A slowdown in economic activity is observable in the main partner countries of Armenia. Certain easing of inflationary pressures is noticeable in the international commodity market, with prices however remaining at historically high levels. Central banks of developed countries continue to tighten monetary conditions. This will contribute to the gradual containment of the global inflationary environment. Thus, the inflationary influence on the Armenian economy from the external sector will weaken to a certain extent, but it will still be persisting in the near future.

Armenia's economy recorded higher than expected activity in the second quarter of 2022. It was particularly evident in the service sector. Positive developments were also recorded in the industry and exports. Demand factors dominate in the shaping of high economic growth. The latter continues to be largely determined by the significant inflow of international visitors and remittances from Russia. High demand leads to expanding of the headline inflation environment and maintaining of high inflation expectations. The appreciation of the Armenian dram partially offsets the increase in inflation.

In the current situation, the Board of the Central Bank of Armenia finds it appropriate to raise the policy rate. The CBA Board will be committed to take adequate measures to control inflation and neutralize any risk of deanchoring of inflation expectations. Under the presented monetary policy scenario, the 12-month inflation will gradually decrease and approach the 4% target in the medium-term horizon.

The Board of the Central Bank estimates that the uncertainty over the macroeconomic outlook remains. At the same time, the risks of inflation deviating from the projection path are mostly balanced. In the case of risks emerging in any direction, the Board will adequately react and ensure the goal of price stability.

In case of using the Press release, the reference to the source is mandatory.

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